CCIR · COMPUTE CREDIT INDEX RESEARCH

Fallback Language Guidance for Credit Agreements

Version 1.0.0 • March 2026

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Intended for	Structured finance counsel drafting CRI rate references in credit agreements
Status	Guidance only — not legal advice. Counsel is responsible for all fallback language in credit agreements.
Effective	March 2026

This document provides guidance for structured finance counsel drafting credit agreements that reference CRI rates published by CCIR Compute Credit Index Research. It describes the elements that well-structured fallback provisions should address, provides illustrative benchmark definition language, and identifies considerations specific to GPU-backed credit facilities.

This document is guidance only. It does not constitute legal advice. CCIR does not prescribe fallback language and is not responsible for the legal enforceability of any benchmark reference or fallback provision in a credit agreement. Counsel is solely responsible for drafting language appropriate to the specific transaction, jurisdiction, and parties.

1. Why Fallback Provisions Matter for CRI Rate References

The LIBOR transition demonstrated that benchmark references without robust fallback provisions create material legal and operational risk. Credit agreements that referenced LIBOR without adequate fallback language required costly amendments and in some cases produced disputes about the applicable rate when LIBOR ceased. Post-LIBOR market practice treats fallback provisions as a non-negotiable element of any benchmark reference in a credit agreement.

CRI rates are published by a voluntary benchmark administrator with no mandatory regulatory backstop. This is structurally similar to commodity price benchmarks (Platts, Argus) and equipment valuation benchmarks (ALG, AVITAS) that have long been cited in structured finance without mandatory regulation. For all such benchmarks, the credit agreement itself is the primary source of certainty about what happens if the benchmark is unavailable or materially changes.

A well-structured CRI rate reference includes four elements: (1) a precise benchmark definition; (2) defined trigger events that activate the fallback; (3) a fallback rate waterfall; and (4) a successor benchmark mechanism. Each is addressed below.

2. Benchmark Definition Language

The benchmark definition in the credit agreement should identify the specific CRI rate by name, specify the methodology version in effect at closing (or reference the current published methodology), and describe the economic content of the rate in sufficient detail that a court could determine whether a proposed replacement rate is economically equivalent. For purposes of this guidance, “Economically Equivalent” means a rate that reflects substantially similar underlying market prices, risk characteristics, and usage context as the CRI rate it replaces, as determined in a commercially reasonable manner.

The table below provides recommended definition language for each published CRI rate.

Index	Collateral Type	Recommended Definition Language
CRI-H100	NVIDIA H100 SXM 80GB	"CRI-H100" means the Compute Rate Index for NVIDIA H100 SXM 80GB GPUs, as published daily by CCIR Compute Credit Index Research at ccir.io, reflecting the seller-posted noninterruptible on-demand per-GPU-per-hour rate computed as a flat median across all Silver-eligible observations in the trailing 7-day window under Methodology Version v1.0.0 (or any successor version published pursuant to the CCIR Benchmark Change Management and Versioning Policy).
CRI-A100	NVIDIA A100 SXM4 80GB	Substitute "A100 SXM4 80GB" and "CRI-A100" in the definition above.
CRI-H200	NVIDIA H200 SXM	Substitute "H200 SXM" and "CRI-H200" in the definition above.
CRI-B200	NVIDIA B200 SXM	Substitute "B200 SXM" and "CRI-B200" in the definition above.
CRI-L40S	NVIDIA L40S PCIe	Substitute "L40S PCIe" and "CRI-L40S" in the definition above.
CRI-H100-CLS-MM	H100 SXM mid-market cluster	"CRI-H100-CLS-MM" means the CCIR mid-market cluster rate for NVIDIA H100 SXM 80GB GPUs, reflecting the flat median per-GPU-per-hour rate across RunPod Cluster and Lambda Cluster Bronze observations in the trailing 7-day window.
CRI-H100-CLS-ENT	H100 SXM enterprise cluster	"CRI-H100-CLS-ENT" means the CCIR enterprise cluster rate for NVIDIA H100 SXM 80GB GPUs, reflecting the CoreWeave posted rate card normalized to per-GPU-per-hour, inclusive of bundled CPU, RAM, storage, and interconnect as disclosed in the bundle_note field.

2.1 Methodology Version References

The definition language above references Methodology Version v1.0.0 with a forward reference to successor versions. Counsel should consider whether the credit agreement should:

- Reference the current published methodology version and update automatically as CCIR publishes minor and patch version bumps (recommended for most transactions — allows CCIR to add sources and correct errors without requiring agreement amendments)
- Lock to a specific methodology version and treat any version bump as a Trigger Event requiring lender consent — appropriate for transactions where rate stability is paramount and parties are willing to accept the operational burden of monitoring for version changes
- Reference the current methodology with a carve-out requiring lender consent for Major version changes only — a middle path that is consistent with CCIR's own change management policy, which requires 90-day advance notice and consultation for Major changes

3. Trigger Events

Trigger events activate the fallback rate waterfall. For purposes of this guidance, a “Benchmark Unavailability Event” means the occurrence of any Trigger Event described in the table below. The table describes the trigger events counsel should consider for CRI rate references.

Trigger Event	Description
Non-Publication	CCIR fails to publish the referenced CRI rate for [10] or more consecutive business days for reasons other than a scheduled maintenance window disclosed in advance on ccir.io.
Cessation Announcement	CCIR publishes a formal notice that it will permanently cease publication of the referenced CRI rate on a specified future date.
Material Methodology Change	CCIR announces a Major change (as defined in the CCIR Benchmark Change Management and Versioning Policy) to the referenced rate that the Administrative Agent (acting in good faith and in consultation with the Required Lenders) determines renders the rate non-representative for the purposes of the credit agreement.
Administrator Change	CCIR transfers administration of the referenced CRI rate to a successor administrator that has not been approved by the Required Lenders.

Bracketed values ([10] consecutive business days, [5] consecutive business days) are illustrative and should be negotiated to reflect the parties' tolerance for rate uncertainty. CCIR's cessation policy commits to a minimum 90-calendar-day notice period for planned index retirement, which provides ample time for parties to agree a successor rate before the non-publication trigger activates.

4. Fallback Rate Waterfall

The fallback rate waterfall specifies the sequence of rates to be used if the primary CRI rate is unavailable. Each step shall apply sequentially, and no subsequent step shall be applied unless the prior step is unavailable or a Trigger Event has occurred, and no step may be bypassed except where objectively unavailable. The waterfall below is illustrative. Counsel should adapt it to the specific transaction structure, agent capabilities, and lender preferences.

Step	Rate	Condition
1	Published CRI rate	CRI rate is published by CCIR on the relevant determination date and no Trigger Event has occurred.
2	Last published CRI rate	CRI rate has not been published for fewer than [5] consecutive business days. The most recently published rate is used for the determination date, with disclosure.
3	Agent-determined equivalent	CRI rate has not been published for [5] or more consecutive business days, or a Trigger Event has occurred. The Administrative Agent determines an equivalent rate reflecting prevailing noninterruptible on-demand GPU compute prices for the relevant model, using commercially available pricing data, acting in good faith and in a commercially reasonable manner, based on information reasonably available at the time. Agent determination is binding absent manifest error, provided that disputes regarding the agent's determination may be referred to an independent expert agreed by the Required Lenders and Borrower within [10] business days of notice of the disputed determination.
4	Successor benchmark	Required Lenders and Borrower agree in writing to a successor benchmark rate and any applicable spread adjustment. Successor rate replaces the CRI rate for all subsequent determination dates.

4.1 Agent-Determined Equivalent — Practical Considerations

Step 3 (agent-determined equivalent) is the most operationally complex element of the fallback waterfall. Counsel should consider the following when drafting this provision:

- Data sources — the agreement should specify or permit the agent to use commercially available GPU compute pricing data sources, which may include marketplace APIs, published rate cards, or third-party pricing services. Silicon Data (silicondata.com) publishes publicly available H100 and B200 spot indices that may serve as a reference point.
- Determination methodology — whether the agent determines a point estimate or a range, and how disputes about the agent's determination are resolved
- Frequency — whether the agent determination applies for each scheduled determination date or is set for a defined period
- Spread adjustment — whether a spread adjustment is applied to the agent-determined rate to reflect any systematic difference between the CRI rate methodology and the agent's determination approach

5. Successor Benchmark Mechanism

The successor benchmark mechanism governs how the parties agree on a permanent replacement for a CRI rate following a Trigger Event. Given the nascent state of GPU compute benchmark infrastructure, a negotiated successor rate — rather than a pre-specified waterfall to an alternative benchmark — is the appropriate structure for most transactions.

Recommended successor benchmark provisions should address:

- The consent threshold required to approve a successor benchmark (Required Lenders vs. all Lenders vs. Administrative Agent with Required Lender non-objection)
- The timeline within which parties must agree a successor benchmark following a Trigger Event — CCIR's 90-day notice period for planned cessation provides a natural coordination window
- Whether a spread adjustment is required to make the successor benchmark economically equivalent to the CRI rate it replaces
- Conforming changes authority — whether the Administrative Agent may make technical amendments to the credit agreement to implement the successor benchmark without full lender consent. If the parties fail to agree on a Successor Benchmark Rate within [90] days of a Trigger Event, the rate determined under Step 3 (Agent-Determined Equivalent) shall continue to apply until a Successor Benchmark Rate is agreed, to avoid any gap in the reference rate for covenant and payment calculations.

6. Generation Spread Covenant Considerations

Credit agreements using the Generation Spread (CRI-B200 vs CRI-H100, or CRI-H100 vs CRI-A100) as a covenant trigger should address the possibility that one leg of the spread becomes unavailable while the other remains published. Counsel should specify:

- Whether a single-leg non-publication suspends the spread covenant or activates a fallback spread level
- Whether the fallback spread is a fixed level negotiated at closing or is agent-determined by reference to available market data
- How the spread covenant interacts with the collateral substitution provisions if a GPU model generation is retired from the CRI index family

7. Blended Rate Covenants

For credit facilities collateralized by mixed GPU model pools, the credit agreement may define a blended rate as a weighted average of two or more CRI rates. Counsel should specify:

- The weighting methodology — whether weights are fixed at closing, reset periodically based on the actual GPU composition of the collateral pool, or determined by the Administrative Agent
- How weights are adjusted if a collateral pool GPU model is not covered by a published CRI rate
- Whether the blended rate covenant suspends or uses a fallback if any component CRI rate is unavailable

8. Counsel Inquiries

Structured finance counsel with questions about CRI rate methodology, index definitions, or the practical implications of specific fallback structures for credit agreement drafting may contact CCIR at research@ccir.io. CCIR will respond to written inquiries within 10 business days.

CCIR does not review or approve credit agreement language, provide legal opinions on the enforceability of benchmark references, or advise on the regulatory treatment of CRI rate references in any jurisdiction. These matters are solely within the competence of counsel.

9. Document Control

Version	1.0.0
Date	March 2026
Supersedes	N/A — initial issuance
Next Review	Upon first credit agreement citation, or March 2027
Administrator	CCIR Compute Credit Index Research
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Annex A — Model CRI Benchmark Clause

A model CRI benchmark clause, including illustrative defined terms, a fallback rate waterfall, successor benchmark mechanism, and generation spread covenant trigger, is available to structured finance counsel upon written request to research@ccir.io. The model clause is provided as a working reference for counsel and is not prescribed by CCIR. Counsel is solely responsible for the drafting, negotiation, and legal enforceability of all benchmark reference language in credit agreements. CCIR does not review or approve credit agreement language.